

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

RESPONDENT'S AMENDED MOTION FOR EXTENSION OF SCHEDULING ORDER

SM LINE CORPORATION ("SM Line" or "Respondent") by and through its undersigned counsel, and in compliance with Administrative Law Judge Alex M. Chintella's instruction received during the status conference of Tuesday August 22, 2023, submits this Amended Motion seeking the extension of the current Scheduling Order dated June 2, 2023 ("Scheduling Order") as proposed below. ("Amended Motion")

STATEMENT OF FACTS

On June 9, 2023, the parties exchanged their respective discovery demands. As soon as Respondent received the demands from Samsung Electronics America, Inc. ("Complainant"), it accelerated searches in various places around the world for documents that would be responsive to Complainant's document requests, as well as gathering information in response to Complainant's interrogatories, both of which were very extensive. In fact, Respondent had begun gathering documentation soon after this proceeding was commenced by Complainant. However,

the bulk of the documents involving over 8,000 shipments possibly at issue, that total 58,615 items and are estimated to be comprised of anywhere between 150,000 and 200,000 pages (if not more), were provided by Respondent to its counsel between June 22, 2023, and July 21, 2023, not long after the discovery demands were received and reviewed. In short, Respondent SM Lines acted diligently and quickly to locate all documents in response to Complainant's demand.

However, although our firm immediately began a review process with respect to the materials provided by our client, using five seasoned counsel and two experienced paralegals, the process is unavoidably slow. There is not only the sheer quantity of the documentation received, which has to be read page- by -page, but there is also the fact that (1) a portion of the documents (in the thousands) are in a foreign language, and (2) many of the documents contain both responsive information and information that is not responsive but nevertheless confidential – all of these documents require redactions.

To date, Respondent has produced 33,975 documents to Complainant. However, it has also become increasingly apparent to Respondent that it is impossible for Respondent to complete the review of the balance of the documents and fulfill the production by the current deadline of August 18, 2023. Furthermore, on August 22, 2023, the same day of the status conference with ALJ Chintella, Respondent learned that Complainant intends to schedule the depositions of approximately 10 witnesses from Respondent's Company. Respondent also estimates that it may need take the depositions of just as many individuals working for Complainant whether as employees or as outside vendors or third party contractors. As represented to ALJ Chintella during the status conference of August 22, 2023, the Parties further expect to avail themselves of two experts each (potentially three).

While the Parties were exchanging multiple emails and participating in numerous conference calls about a possible formal mediation, Respondent's counsel has discussed several times with Complainant's counsel the need to reach an agreement on jointly extending the discovery schedule for a 'reasonable period of time', including after the conference on August 22, 2023.¹ In the end, Complainant's counsel represented that it intends to submit its own proposed amended schedule.

THE COMPLEXITY OF THE MATTER WARRANTS AND EXTENSION OF THE SCHEDULING ORDER

Under 46 C.F.R. §502.141(g) of the Commission's regulations, it is required that discovery be completed within 150 days of the service of a respondent's answer. This uniform time period is acknowledged by Respondent and its counsel. In a simple or routine case, 150 days is indeed a reasonable period of time to complete discovery. However, the captioned matter is by no means a routine or simple case. This dispute involves *tens of thousands of shipments*. Necessarily, the documentation for the cumulative shipments is going to be measured in the hundreds of thousands of pages. This is not a one shipment dispute; it is a stack of disputes estimated to involve over 8,000 shipments. Furthermore, at least as far as SM Line is concerned, thousands of those documents are in a foreign language or will require tedious redactions because of confidential and proprietary information.

¹ Counsel for the Parties had a "meet and confer" on August 25, 2023. The parties shared the need to start planning for the depositions of the fact witnesses and the experts' discovery that will follow the completion of the production of documents. The Respondent agreed to prioritize the production of certain documents to Complainant and to continue producing the remaining documents on a rolling basis. Counsel also discussed the possibility of multiple third-party subpoenas or third party action which may significantly impact the overall schedule of the case but may not become apparent until the production of documents has been completed.

As already noted, the documents that need to be reviewed by Respondent for production are expected to total between 150,000 and 200,000 pages - if not more. So far, Respondent has produced to Complainant 33,975 documents, out of the 58,615 documents retrieved by our client, totaling 44,042 pages. And Respondent has received 65,417 pages from Complainant. The respective production of documents must also be reviewed before depositions can take place. Evaluating the validity of the allegations made by Complainant necessitates detailed examinations, which include, among other aspects, an analysis on a container-by-container basis and specific review of each shipment/movement histories. Furthermore, Counsel understands that Respondent may need to file motion(s) to obtain the Court's approval for the issuance of third party subpoenas or third party claim(s), based on what is learned during the discovery process from Complainant's witnesses.

As stated earlier, it is expected that the depositions of approximately 20 witnesses will need to take place. And at least two experts per party are expected to be involved in the proceeding. Respondent is mindful that the depositions of both party's witnesses will most likely overlap with the Thanksgiving, Christmas, and New Year holidays, and securing the commitment of the witnesses, let alone counsel, at that period of time will be very difficult.

In sum, Respondent respectfully submits that the complexity of this case, and the doctrine of fairness, warrant some flexibility in respect to the 150-day rule to complete discovery. Fairness is not just an issue for Respondent. It is in the interests of both Complainant and that of the case at hand to have the thorough and complete discovery process, because if mistakes are made during the production or depositions process because the parties took rushed through the said processes, the consequences can mean that settlement opportunities may be regrettably lost or the quality of the decision by the Court may be impaired.

Respondent acknowledges the goal set out by the Commission in order to ensure the prompt resolution of claims and disputes administered by the Commission; one which the deadlines for issuance of initial and final decisions are intended to achieve. Respondent also acknowledges how Scheduling orders are an important part of this process and are not taken lightly. However, in recognition of the complexities of the claims (not just the large number of documents involved, but also the number of parties and persons involved) and that of importance of securing a fair litigation process, it is not unusual for the deadlines for completion of discovery and/or for the issuance of initial and final decisions to be extended by administrative law judges and the Commission, and for scheduling orders to be revised accordingly. Indeed, it is not uncommon for decisions on the merits to require more time than allotted under the same regulations.²

There are also policy considerations which favor allowing sufficient time for a full development of the evidentiary record before an agency, rather than enforcing strict adherence to a particular schedule. See *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines* — Possible Violations of Section 10(a)(1) of the Shipping Act of 1984, 29 S.R.R. 1376, 1377 (ALJ 2002) (policy and responsibility of Commission and, by delegation of authority, presiding judge, to inquire into and consider all relevant facts; of even greater importance than the concept of fairness between the parties, as they maneuver to develop a record which fits their positions, is the need to ensure that justice is served and all relevant facts are considered by the Commission). Strict adherence to a schedule should not override these policy considerations. See also, *Anderson*

² Some recent examples of this include FMC Docket No. 15-11 (complaint filed November 16, 2015, FMC decision now due October 18, 2021); FMC Docket No. 17-05 (complaint filed May 23, 2017, initial decision issued May 24, 2019, Commission decision issued July 26, 2021); FMC Docket No. 19-02 (complaint filed December 20, 2018, initial decision issues March 30, 2021, case stayed from June to November of 2020)

International Transport and Own Anderson — Possible Violations of Sections 8(a) and 19 of the Shipping Act of 1984, 31 S.R.R. 1091 (FMC 2009) (citing policy considerations discussed in Hudson as basis for reopening the record).

This is the first request for an extension, which SM Line respectfully submits is modest, reasonable, and necessary under the circumstances. Furthermore, Respondent believes that good cause has been demonstrated to extend the deadlines in the Scheduling Order dated June 2, 2023 ("Scheduling Order"). SM Lines accordingly proposes the following revisions to the Scheduling Order:

Task	Old Date	New Date
Complete document production	August 18, 2023	October 17, 2023
Complete fact depositions.	September 29, 2023	December 20, 2023 ³
Expert discovery begins.	October 2, 2023	January 15, 2023 ⁴
Close of all discovery.	October 9, 2023	February 12, 2024
Complainant's brief, proposed findings of fact, and appendix.	November 7, 2023	March 13, 2024
Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.	December 6, 2023	April 13, 2024
Complainant's reply brief and responses to proposed findings of fact	December 20, 2023	May 13, 2024

³ The proposed new date takes into account that the parties estimate the need to take the deposition of approximately 20 witnesses.

⁴ The proposed delayed deadline for the beginning of expert discovery takes into account the challenges presented by the holiday season between December 21 and 22, 2023 to January 2 and 3, 2024.

CONCLUSION

For the reasons explained above, additional time is needed by SM Line to complete its review and production of documents responsive to SEA's very extensive discovery requests. Furthermore, additional time is needed due to the large number of witnesses expected to be deposed, for the number of experts involved and overall to balance the workload of the attorneys and witnesses involved in the matter. SM Line accordingly requests that its Amended Motion extending the Scheduling Order be granted.

/s/Wook Chung

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Dated: August 28, 2023

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 28th day of August 2023, the foregoing document was served via electronic mail on:

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Office of the Secretary
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Federal Maritime Commission
Presiding Administrative Law Judge
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